



A Case for Self-Reliance

The degree of import dependence is not uniform across sectors, but in some areas, it has reached dangerous levels

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94 | **SINCE THE WAR** between the US-Israel alliance and Iran began three months ago, the rupee has witnessed a sharp decline, dipping past 96 to fresh all-time lows. While the pace of depreciation accelerated significantly during the war, FY26 had already proven hugely unfavourable for the Indian currency. Between April 1, 2025, and March 31, 2026, it depreciated 10.7%, and this has continued.

During the war, our foreign exchange reserves have also fallen by \$47 billion to \$681 billion in the week ended May 22. The major reasons for the decline in the rupee, apart from the war, have been a significant increase in imports and stagnating export growth, leading to an increase in the merchandise trade deficit by nearly \$50 billion over the last year.

No doubt, imports kept rising faster than exports and the current account deficit (CAD) continued to cause depreciation of the rupee, but the average rate of depreciation was around 4% in the past three-and-a-half decades. Now, when net FDI has

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